UNIT K

TAXATION OF INCOME FROM MINING OPERATIONS

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1. INTRODUCTION

Miners earn business income from their operations and are therefore subject to income taxes like any other taxpayers. However due to the specialised nature of their operations they have special provisions in terms of the Income Tax Act which apply to the taxation of income that they earn. We shall cover the basics of the taxation of mining operations. You will be expected to only specialise post-qualification (if required).

2. OBJECTIVES OF THE STUDY UNIT

Identify the special reliefs and provisions applicable to the taxation of income accruing from mining operations.
Calculation of tax payable by a miner.
Plan the tax affairs of a miner.
Understand the administration of a miner's taxes.

3. STUDY MATERIAL

Income Tax Act:

- Section 2 – Interpretation.
- Section 8 – Interpretation of terms relating to Gross Income.
- Section 10 – Special circumstances in which income is deemed to have accrued.
- Section 15 – Deductions allowed in determination of taxable income.
- Section 16 – Cases in which no deductions shall be made.
- Section 17 – Special provisions relating to hire-purchase or other agreements providing for postponement of passing of ownership of property.
- Section 18 – Special provisions relating to credit sales.
- 2nd schedule – Valuation of Trading stock.
- 3rd schedule – Exemption from Income Tax.
- 5th schedule – Allowances and deductions in respect of income from mining operations and other provisions relating thereto.

4. COMPETENCE FRAMEWORK EXPECTATION

You shall be expected to:

- profile your taxpayer correctly in terms of legal form, residence, and organisational structure.
- Calculate a miner's taxes.
- Plan the tax affairs of a miner.

5. EXAMINATION POSSIBILITIES

- Computation of Taxation for a miner. The computation may commence from accounting profits.
- Discussion of Taxation principles (Income Tax, VAT and CGT) applied in a mining business.
- Tax Planning for miners including principles of withholding taxes and transfer pricing.

6. ASSUMED KNOWLEDGE

It is assumed that you have an understanding of:

- How to account for business profits and IAS 12.
- Gross Income and exemptions.
- General and prohibited deductions.

7. INTEGRATION

Financial accounting:

- IAS 1 - Presentation of Financial Statements Income statements preparation.
- IAS 12 - Income taxes.

Managerial Accounting and Finance principles.

8. COURSE NOTES

8.1. Introduction

Miners are assessed in the same manner as any other taxpayer. The main difference is in the method of claiming capital allowances. The capital redemption allowance (CRA) replaces SIA, wear & tear, and scrapping allowance.

The 6-year prescription on loss carryovers not applicable to miners. Income tax losses from mining operations incurred within six years of the commencement of operations can be carried forward indefinitely once mining operations have commenced.

8.2. Mining Operations – Section 2

In terms of Section 2 "***mineral***" includes any valuable crystalline or earthy substance forming part of or found within the earth's surface and produced or deposited there by natural agencies but does not include petroleum or any clay (other than fireclay), gravel, sand, stone (other than limestone) or other like substance ordinarily won by the method of surface working known as quarrying.

In terms of section 2 "***mining operations***" means any operations for the purpose of winning a mineral from the earth; and any operations for the purpose of weaning a mineral from any substance or constituent of the earth which are carried on in conjunction with operations referred to above by the person carrying on those operations.

The effect of the mining operation definition is to include:

(i) Any operation for the purpose of winning a mineral from the earth.
(ii) Subsequent smelting and refining, by the same taxpayer of minerals won from the earth.
(iii) Any other operation recognised by the Commissioner, such as the re-working of mine dumps.

8.3. Prospecting expenses - section 15(2) (f)(ii)

Refers to expenditure incurred by a person on operations either in searching for a potential claim or in searching for minerals after a claim has been pegged.
A binding election is available to claim such expenditure from current income from any source or carry forward the expenditure to be allowed against income from mining operations in any subsequent year.
Expenditure may include:

- Survey costs.
- Sinking of boreholes.
- Digging of trenches and pits.
- Any other prospecting and other exploratory works undertaken for the purposes of acquiring rights to mine minerals.
- Shaft sinking.

8.4. Payment of royalties – section 15(2) (f)(iii)

This subparagraph was repealed by Act 1 of 2014. As a result of this, royalties are not deductible.

8.5. Capital redemption allowance - section 15(2) (f)(i) and 5th schedule.

Capital expenditure for mining purposes is defined as: -

- Expenditure on buildings, works or equipment, and lease premiums.
- Shaft sinking (including sumps, pump chambers, stations and ore bins accessory to a shaft);
- Expenditure incurred prior to commencement of trade on preliminary surveys, boreholes, development, general administration and management, interest on loans; and
- Expenditure incurred on or after the 1st of April, 1988, on any permanent building used for the purposes of—mine schools, nursing homes and clinics.

NB: Capital expenditure does not include cost of claims and goodwill or company flotation expenses and preproduction expenditure qualifies as capital expenditure.

Current Capital Expenditure (CCE): Capital expenditure incurred in a current year.

8.6. Unredeemed balance of Current Capital Expenditure (UBCE)

The balance of capital expenditure not extinguished by the CCE; preproduction expenditure forms the UBCE when production commences.

8.7. Recoupment

It is an amount accruing from sale, damage, destruction, or other disposal of asset on which capital redemption allowance or an allowance on replacement of asset has been claimed. It does not include in the case of damage / destruction of assets an amount exceeding original cost.

8.8. Methods of calculating the Capital Redemption Allowance

The redemption allowance can be calculated using either of three methods commonly referred to as:

- Life of mine
- Mixed method
- New mine method
- The taxpayer must make an election of the method preferred.

Life of Mine – Par 2 of the 5th Schedule

Under this method, the current year's capital expenditure is added to the balance of unredeemed capital expenditure brought forward at the commencement of the current year of assessment. The total capital expenditure is then divided by the approved estimate life of the mine (in years), counting from the beginning of the current year of assessment.

- CRA = $\frac{\text{CCE + UBCE – Recoupment}}{\text{Estimate of life* (years)}}$

A taxpayer who adopts the life of the mine basis in respect of a particular mine is permitted to change subsequently to the 'mixed basis'.

*"estimate of the life of the mine" means the number of years not exceeding –

- In the case of a mine operated for the purpose of producing lead or zinc or lead and zinc, ten years; in the case of a mine operated for the purpose of producing iron, five years; and
- In the case of any other mine, twenty years.

Where a taxpayer adopts this basis, he submits to ZIMRA an estimate of the number of years for which operations are expected to continue based on the certified estimates of ore reserves.

The capital expenditure ranking for CRA (less recoupments) is divided by the life of mine calculated from the commencement of year of assessment concerned.

Example

A company had an unredeemed balance of capital expenditure of $200,000 as at 1 Jan 2020.
Current capital expenditure is $120,000;
During the year, the company sold machinery for $40,000.
The mine estimates its life of mine to be four years from the end of the year of assessment.

Solution

		ZWL$
URBCE		200,000
Recoupment		(40,000)
		160,000
CCE		120,000
		280,000
CRA	280,000 / 5 =	**56,000**

New Mine Method (5th Schedule Par 4 (4))

This method is only available to those carrying on operations in a new mine as defined. The election of this method allows the taxpayer to deduct all capital expenditure brought forward and current in the first year of production. Thereafter, capital expenditure is allowed in the year in which it is incurred.

A new mine is defined as an undertaking which commenced regular production on or after 1/04/1968, or recommencement of a mine which has changed ownership and has been reorganised with substantially new development and new plant.

CRA = CCE + UBCE- Recoupment.

Mixed Method (5th schedule Par 4 (2))

Under this method this method the taxpayer can make an election to claim a portion of unredeemed capital expenditure brought forward at the beginning of the year, by applying the life of the mine method to it. In addition to that portion, the whole amount of the capital expenditure incurred in the current year is allowed in full.

$$CRA = CCE + \frac{(UBCE)}{\text{Life of mine (years)}}$$

Restrictions on certain Assets

- Passenger Motor vehicle – ZWL$ 100,000
- Staff housing
  - ZWL$ 100,000 on a building used mainly as a dwelling by an individual shareholder where he is one of not more than four individuals who control the company, where the building was erected on or after the 1st of January 2009.
  - ZWL$250.000 in respect of any building used mainly as a dwelling by staff employed at the school, hospital, nursing home or clinic—
  - No restrictions on dwellings for mine employees

- ZWL500 000 on a building used mainly as a school, hospital, clinic or nursing home in connection with the taxpayer's mining operations.

8.9. Recoupments section 8(1) (j)

Recoupments taxable on the disposal of mining assets are not restricted to allowances claimed. Therefore, the amount of the recoupment is equal to the sale proceeds.

8.10. General Administration and Management Fees Section 16 (1) r

To be prohibited as a deduction is general administration and management fees paid by a subsidiary or holding company or a local branch (where the parent is a foreign company engaging in local mining operations). In respect of such expenditure as is paid before commencement of production to the extent that is exceeds 0.75% of:

$$A – (B + C)$$

Where,

- A – Represents the total expenditure qualifying for deduction in terms of s 15.
- B – Represents general administration and management fees paid outside Zimbabwe.
- C – Capital redemption allowance

In the case of such expenditure as is paid after commencement of production to the extent that it exceeds 1% of the above formula.

Example

The following expenses were incurred by A Ltd during the year ended 31 December 2020:

Administration fees paid outside Zimbabwe		120,000
Depreciation		60,000
Other tax-deductible expenses		420,000
Total		600.000
Capital redemption allowances	=	50,000

Solution

Allowable fees = 1% [A- (B+C)
= 1% [650,000 – 60,000) -(120,000 + 50,000)
= $4,200

Disallowable s 16(1) r = 120,000 – 4,200
= 115,800

8.11. Cessation of Mining Operations

If the cessation is due to the life of the mine having come to an end, or in the case of a mine worked under concession, the concession having expired, the balance of the unredeemed capital expenditure is allowable as a deduction in the year of cessation. If, however, the taxpayer has abandoned the mine that is by forfeiture of the claim, before its life has come to an end, the unredeemed balance of capital expenditure is not deductible unless he can show that there has been a material change of circumstances necessitating a revision of the life of the mine.

9. PRACTICE QUESTION

Bullions (Pvt) Ltd is a Zimbabwean registered company which operates a gold mine in the Great Dyke town of Chinhoyi in Zimbabwe. 60% of its issued share capital is owned by XYAI LTD a company registered in China. During the tax year ended 31 December 2020, Bullions (Pvt) Ltd borrowed $50 million dollars from a Chinese bank to finance an expansion programme for the mine and thereby increase production by 50%. The loan was guaranteed by the Chinese shareholders.

The income statement for the year ended 31 December 2020 reflected a net profit figure of $9,000,000 after taking the following adjustments:

Income

Profit on sale of generator	6	20,000
Insurance proceeds	7	200,000
Profit on sale of mining claims	8	3,000,000

Expenses

Administration expenses	1	1,200,000
Annuity purchased	2	200,000
Depreciation		1,650,000
Development expenditure		2,300,000
Preliminary surveys and boreholes		1,300,000
Prospecting expenditure		1,500,000
Interest paid	3	1,860 000
Donations	4	3,720,000
Shaft sinking		650,000

Other information

1. **Administration expenses;**
   Administration expenses include a payment of ZWL$200,000 which was to terminate the service contract of a former mine manager as part of a reorganisation programme and ZWL$50,000 for the cost of materials donated by the company to the mine's sports club towards the construction of a swimming pool.

2. **Annuity purchased;**
   The annuity for ZWL$150,000 was purchased to discharge the company's contractual obligation to pay a pension to a former manager who was eligible to join the company's pension scheme.

3. **Interest payable;**
   The interest was payable to the Chinese bank. The average debt to equity ratio of Bullion (Pvt) Ltd is 3:1 and during the year ended 31 December 2020was 4:1.

4. **Donations**

Donation to the Chinhoyi Mayor's cheer fund	120,000
Donation to the National Scholarship Fund	1,500,000
Donation to the Chinhoyi Town Council bursary fund	200,000
Donation to Kutama Mission school for construction of school building	1,100,000
Donation of laboratory equipment to Heritage Trust School	800,000
	3,720,000

5. **Addition to buildings**

Residence for managing director	2,500,000
Extension to mine hospital	6,000,000
Staff canteen	340,000
Sports club renovations	250,000
	9,090,000

6. **Profit on sale of generator**

The generator had been acquired in 2017 for ZWL$70,000 and had a book value of ZWL$63,000. it was sold for ZWL$83,000.

7. **Insurance payment**

A Toyota Vigo which had been purchased for ZWL$2,000,000 in May 2017 was written off in an accident. Insurance proceeds of ZWL$1,000,000 were received.

8. **Profit on sale of mining claim**

The mining claim had been acquired for ZWL$250,000; it was abandoned and sold for ZWL$3,250,000.

REQUIRED

Calculate the company's minimum taxable income or maximum tax loss for the year ended 31st December 2020.

Assume that the company claims capital expenditure using the "new mine basis" and the new tax legislation is applicable.

SUGGESTED SOLUTION

TRANSACTION	BRIEF NARATION	ZWL$
Profit per accounts		9,000,000.00
Profit on sale of generator	Capital in nature	(20,000.00)
Sale of generators	Recoupment limited to capital allowances previously granted (CRA)	70,000.00
Sale of Toyota Vigo	Recoupment	1,000,000.00
Profit on sale of mining claims	Capital in nature	(300,000.00)
Administration expenses	Allowable Deduction (correctly included)	-
Annuity Purchased	Capital in nature	200,000.00
Depreciation	Not incurred	1,650,000.00
Development Expenditure	Allowable Deduction (correctly included)	-
Preliminary Survey and Boreholes	Allowable Deduction (correctly included)	-
Prospecting Expenditure	S15(2)(f)ii	-
Shaft Sinking	Part of CRA	650,000.00
Donations to Mayors' cheer fund	Not deductible	120,000.00
Donation to National Scholarship Fund	S15(2)r limited to 1m	500,000.00
Donation to Chinhoyi Town Council Bursary Fund	Not allowable	200,000.00
Donation to Kutama Mission School	Limited to 1m	100,000.00
Donation of laboratory equipment to Heritage Trust School	Not allowable	80,000.00
Interest Payable : Disallowed Portion (1,860,000*4/3)	Disallowed	465,000.00
CRA:		(4,240,000.00)
Shaft Sinking	650,000.00	
Residence for MD	2,500,000.00	
Extension to mine hospital restricted to 500,000	500,000.00	
Staff Canteen	340,000.00	
Sports Club Renovations	250,000.00	
Taxable Income		**9,475,000.00**